

both taken together, result in 1 per cent increment in GDP growth. In education, too, you would probably have something like this. I would say if you add up all of that, you have 5.5 per cent over the trend of 8.5-per cent growth you are talking about.

Acharya: Sector-wise, there are three big things in infrastructure—power, water and roads. Power is really a very bad story. There are two reasons why we have such a big difference between power and telecom. We started off with subsidy culture in power long ago, and now we cannot get rid of it and keep a check on theft. In telecom, where the

RAINING TROUBLE: Urban infrastructure is crumbling



UMESH GOSWAMI

Worsening conditions in smaller cities, the new engines of growth, impact competitiveness.

SUBIR GOKARN, CHIEF ECONOMIST, S&P, ASIA-PACIFIC

regulatory policy environment is essentially central, the story is different. It is at one level of government. But in power, it is scattered all over—states and the Centre.

Gokarn: The power situation is bad; it is a serious constraint on growth. The model that the Electricity Act of 2003 creates is a very effective, very appropriate model based on free movement of power. The fact that states are involved in this has made it ineffectual. Second, urban infrastructure is at a point where we have to rethink—the capacity of funding for projects, efficiency and so on. We also have to look at the capacity of city governments to manage this process. The quality of life is deteriorating. That has got to have very significant impact on competitiveness.

Roy: Infrastructure is a big issue. In power, identifying institutional reforms and implementation is the key. Also, in infrastructure, funding is going to be critical. We need to realise that we are dealing with non-tradables. If you look at the total requirement of funding for infrastructure projects, it will go from a current level of about

UNFINISHED AGENDA

WILL PRIVATE SECTOR RESERVATION HURT INVESTMENT? NOV 2004

Ajit Ranade	Shankar Acharya	Indira Rajaraman	Bibek Debroy	Subir Gokarn	Siddhartha Roy
NO.	YES.	YES.	YES.	YES.	YES.
Organised sector employs only 8% of the total workforce	It will make the already rigid labour laws more rigid	We should have quota for feeder institutes, not private companies	It will impact investment sentiments adversely	And if extended to services, the damage would be serious	We should encourage more investment to create jobs

ON THE PROJECTED ECONOMIC COST OF LEFT SUPPORT TO UPA NOV 2005

Disinvestment, foreign direct investment in insurance and retail, banking and pension reforms and modernisation of labour laws are stalled.

Ajit Ranade	Shankar Acharya	Indira Rajaraman	Bibek Debroy	Subir Gokarn	Siddhartha Roy
0.5%	1%	1%	1%	1%	1%+

HOW TO CONTROL INFLATION AND PRICE RISE FEB 2007

The BITE team suggested reduction in import duties, freeing of food imports, opening up of supply bottlenecks, elimination of middlemen and promotion of organised retail and investment in agriculture as measures needed for getting a grip on the phantom of inflation.

DONE **PARTIALLY DONE** **NOT DONE**